



Reimbursement Authorities

The law behind the Expense Reimbursement Policy: each rule the policy follows, its source, and the choice it decided. Companion to the policy and its request form.

THE CORPORATION'S OWN LAW

Bylaws Section 4.11 prohibits compensation for board service and permits reimbursement of reasonable expenses "in accordance with policies approved by the Board"; Section 6.11 applies the same standard to officers. The Expense Reimbursement Policy is the policy those sections call for. The Conflict of Interest Policy governs any reimbursement in which a covered person holds an interest, and the Document Retention and Destruction Policy governs the records.

WASHINGTON LAW

The Washington Nonprofit Corporation Act does not prescribe reimbursement mechanics. It governs through the standards of conduct: directors and officers who approve payments must act in good faith, with prudent care, in the corporation's best interests (RCW 24.03A.495 for directors, RCW 24.03A.590 for officers). The cross-approval rule in the policy is how the corporation shows that care on the face of its records.

FEDERAL TAX LAW

Reimbursements are tax-free to the recipient only under an "accountable plan" as defined in Treasury Regulation section 1.62-2 (26 CFR 1.62-2). The regulation imposes three requirements: a business connection to the organization's purposes, adequate substantiation, and return of any excess advance. Its fixed-date safe harbor treats substantiation within 60 days of the expense, and return of excess within 120 days, as reasonable. Reimbursements outside these rules are treated as income to the recipient.

For vehicle travel, Internal Revenue Code section 170(i) fixes the charitable mileage rate at 14 cents per mile by statute. Volunteers, including directors and officers serving without compensation, may be reimbursed tax-free up to that rate or for actual documented vehicle costs; amounts above it can be income to the volunteer. The higher business mileage rate, set annually by IRS notice, applies to employees.

WHAT EACH RULE DECIDED

POLICY CHOICE	SOURCE	REASON
No payment for board service; expenses only	Bylaws 4.11, 6.11	The bylaws prohibit board compensation; the policy stays on the permitted side of the line.
Substantiation within 60 days, receipts and business purpose	26 CFR 1.62-2 fixed-date safe harbor	Keeps every reimbursement inside the accountable plan, so it is not income to the recipient.
Excess advances returned within 120 days	26 CFR 1.62-2 fixed-date safe harbor	The policy deadline and the federal safe harbor are the same test.
Charitable mileage rate or actual costs for directors, officers, volunteers	IRC 170(i)	The 14-cent rate is the statutory ceiling for tax-free volunteer mileage; actual documented costs are the alternative.
Business mileage rate reserved for employees	Annual IRS standard mileage notice	The business rate is an employee convention; applying it to volunteers can create taxable income.
No self-approval; Treasurer and Chair cross-approve	RCW 24.03A.495, .590	The standards of conduct require impartial judgment; cross-approval documents it.
Conflicted reimbursements follow the COI process	Bylaws Article IX; Appendix A	An interested payment is a conflict transaction and takes the disclosure and recusal path.
Records retained	Retention Policy; 26 CFR 1.62-2 substantiation	The substantiation that makes the plan accountable must survive to prove it.

Citations verified against the published statute and regulation texts, September 2, 2026. This page describes the law as it bears on the policy; where they differ, the law governs.